Marketing Management - Set 3

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Buying a car after extensive research and comparison between brands is
A. dissonance-reducing buying
B. variety-seeking buying
C. complex buying behaviour
D. habitual buying

2. Soap, toothpaste and bread are usually classed as
A. capital goods
B. specialty goods
C. convenience goods
D. unsought goods

3. Data collected earlier for another purpose is
A. qualitative data only
B. secondary data
C. primary data
D. raw data

4. Jio's free calls and cheap data illustrate
A. low pricing
B. customisation
C. quality
D. innovation

5. Dividing the population into homogeneous groups and sampling from each is
A. stratified random sampling
B. snowball sampling
C. cluster sampling
D. convenience sampling

6. Which is NOT one of the six core concepts listed in the notes?
A. Relationships
B. Needs and wants
C. Exchange
D. Profit sharing

7. Manufacturer to wholesaler to retailer to consumer is a
A. direct channel
B. zero-level channel
C. one-level channel
D. two-level channel

8. Which element of the marketing mix is the only one that produces revenue?
A. Product
B. Price
C. Promotion
D. Place

9. Benefits sought, usage rate and brand loyalty are bases of
A. geographic segmentation
B. demographic segmentation
C. behavioural segmentation
D. psychographic segmentation

10. Pricing a product at Rs 999 instead of Rs 1,000 is
A. geographical pricing
B. cost-plus pricing
C. going-rate pricing
D. psychological pricing

11. The package that directly holds the product, like a toothpaste tube, is the
A. outer carton
B. primary package
C. secondary package
D. tertiary package

12. Setting price = cost + a fixed percentage mark-up is
A. going-rate pricing
B. cost-plus pricing
C. perceived-value pricing
D. sealed-bid pricing

13. Trade discounts and dealer contests are mainly used in a
A. skimming strategy
B. pull strategy
C. push strategy
D. penetration strategy

14. The four stages of the product life cycle are
A. launch, profit, loss, exit
B. introduction, growth, maturity, decline
C. birth, youth, peak, end of loss
D. idea, test, launch, close

15. Kotler's four MIS sub-systems do NOT include the
A. internal accounting system
B. data mining system
C. market intelligence system
D. marketing research system

16. Free samples, coupons and contests are examples of
A. public relations
B. personal selling
C. logistics
D. sales promotion

17. Marketing research differs from MIS in that marketing research
A. includes the whole of the MIS as one of its sub-systems
B. seeks specific external information to solve a research problem
C. handles continuously both internal records and external data for decisions
D. is computer based and focuses on the future of the firm

18. CTR stands for
A. content transfer rate
B. click-through rate
C. cost to revenue
D. customer trust rating

19. Avis' 'We try harder' positions the brand against
A. a category
B. an occasion
C. a price point
D. a competitor (Hertz)

20. A wholesaler mainly
A. sells directly to final consumers

B. only transports goods
C. only advertises goods
D. buys in bulk and sells to retailers

21. Which is a source of internal secondary data?
A. Focus group discussions conducted with customers
B. Census reports published by the government of India
C. Sales invoices and warranty cards
D. Industry reports published by trade associations

22. Climate, region, country and urban or rural area are bases of
A. demographic segmentation
B. geographic segmentation
C. behavioural segmentation
D. psychographic segmentation

23. Research used when the problem is not clearly defined and insights are needed is
A. conclusive research
B. causal research
C. exploratory research
D. descriptive research

24. Dropping weak ideas early so that resources are not wasted is the purpose of
A. brand extension
B. test marketing
C. commercialisation
D. idea screening

25. The scale that ranks objects but not by how much is
A. interval
B. ordinal
C. nominal
D. ratio

26. Marketing begins
A. at the time of dispatch
B. before production
C. after production
D. after sales only

27. Skip interval in systematic random sampling equals
A. population list size / desired sample size
B. population list size x desired sample size
C. sample size / population list size, rounded to the nearest whole number
D. population list size - desired sample size

28. Classifying products into classes by quality, size and weight is
A. storage
B. branding
C. packaging
D. grading

29. Face-to-face presentation by a salesperson to make a sale is
A. publicity
B. personal selling
C. packaging
D. advertising

30. Netflix personalising recommendations for each account is
A. concentrated marketing
B. mass marketing
C. micromarketing

D. undifferentiated marketing

31. The set of alternatives a buyer considers after information search is the
A. segment
B. quota
C. choice set only
D. evoked set

32. The marketing concept shifts the focus from
A. producing at the lowest cost to selling more through promotion
B. improving the quality of the product to improving the packaging
C. finding the right customers for your product to finding the right products for your customers
D. selling the products to creating demand through discounts

33. Trying a new soft-drink flavour just for fun is
A. complex behaviour
B. variety-seeking behaviour
C. habitual behaviour
D. dissonance-reducing behaviour

34. The scale that only labels categories (gender, religion) is
A. ratio
B. ordinal
C. nominal
D. interval

35. A disadvantage of the selling concept is
A. heavy investment in research and the risk of product failure
B. short-term focus and no customer focus
C. lack of innovation and poor attention to quality of the product
D. high cost of social responsibility programmes undertaken by the firm

36. Online marketing is
A. a type of digital marketing carried out via the internet
B. an older form of marketing carried out only through print media
C. a form of marketing in which goods are sold only through retail shops
D. marketing carried out only through television and radio advertising

37. A channel from manufacturer directly to the consumer is
A. zero-level
B. three-level
C. two-level
D. one-level

38. Referral sampling, where one respondent refers others, is
A. systematic sampling
B. snowball sampling
C. quota sampling
D. stratified sampling

39. Which Indian company markets the 'Good and Green' strategy?
A. Kansai Nerolac
B. SBI
C. Wipro
D. Godrej

40. The 4Ps of the marketing mix are
A. price, profit, people, place
B. plan, produce, pack, post
C. people, process, profit, planning
D. product, price, promotion, place

41. Sales records and customer databases are part of
A. information output
B. marketing research
C. internal records
D. marketing intelligence

42. AIDA stands for
A. Attention, Interest, Desire, Action
B. Attention, Image, Demand, Action
C. Awareness, Idea, Desire, Approval
D. Advertising, Interest, Demand, Appeal

43. A strategy that promotes to final consumers so that they demand the product from retailers is
A. push strategy
B. logistics strategy
C. pull strategy
D. cost-plus strategy

44. Pricing according to what customers believe a product is worth is
A. cost-plus pricing
B. going-rate pricing
C. perceived-value pricing
D. break-even pricing

45. The MIS process runs in the order
A. dissemination, storage, collection
B. processing, collection, retrieval, storage
C. storage, collection, dissemination, processing
D. collection, processing, storage, retrieval, dissemination

46. Green marketing is also called
A. digital marketing or internet marketing of products
B. mass marketing or undifferentiated marketing of products
C. eco-marketing or environmental marketing
D. direct marketing or database marketing of products

47. Which is NOT a function of packaging?
A. Providing information
B. Making handling convenient
C. Fixing the retail price
D. Protecting the product

48. Starbucks' welcoming atmosphere and personalised service build
A. wider distribution through the use of intermediaries
B. lower prices through economies of scale in production
C. a mass production system that cuts the cost of each cup
D. customer relationships

49. 'Daag Achhe Hain' is the campaign of
A. Tata Tea
B. Lifebuoy
C. Surf Excel
D. Airtel

50. A new flavour of a biscuit sold under the same brand is a
A. line extension
B. brand mark
C. brand extension
D. private brand

Answer key - Set 3

1. **C**	11. **B**	21. **C**	31. **D**	41. **C**
2. **C**	12. **B**	22. **B**	32. **C**	42. **A**
3. **B**	13. **C**	23. **C**	33. **B**	43. **C**
4. **A**	14. **B**	24. **D**	34. **C**	44. **C**
5. **A**	15. **B**	25. **B**	35. **B**	45. **D**
6. **D**	16. **D**	26. **B**	36. **A**	46. **C**
7. **D**	17. **B**	27. **A**	37. **A**	47. **C**
8. **B**	18. **B**	28. **D**	38. **B**	48. **D**
9. **C**	19. **D**	29. **B**	39. **D**	49. **C**
10. **D**	20. **D**	30. **C**	40. **D**	50. **A**

Answers with explanations

1. Buying a car after extensive research and comparison between brands is

Answer: C. complex buying behaviour

Why correct: Researching and comparing brands for an expensive buy is complex buying behaviour.

A is wrong: Dissonance-reducing has few brand differences.

B is wrong: Variety seeking is trying for fun.

D is wrong: Habitual is low involvement.

2. Soap, toothpaste and bread are usually classed as

Answer: C. convenience goods

Why correct: They are bought often, quickly and with little effort.

A is wrong: Capital goods are industrial machinery.

B is wrong: Specialty goods are bought with strong brand loyalty.

D is wrong: Unsought goods are not actively wanted, e.g. insurance.

3. Data collected earlier for another purpose is

Answer: B. secondary data

Why correct: Data collected earlier for another purpose is secondary data.

A is wrong: Qualitative describes a type.

C is wrong: Primary data is new.

D is wrong: Raw data is unprocessed.

4. Jio's free calls and cheap data illustrate

Answer: A. low pricing

Why correct: Jio won on free calls and cheap data: low pricing.

B is wrong: Customisation is not its main claim.

C is wrong: Quality is not its main claim.

D is wrong: Innovation is not its main claim.

5. Dividing the population into homogeneous groups and sampling from each is

Answer: A. stratified random sampling

Why correct: Homogeneous groups sampled separately is stratified sampling.

B is wrong: Snowball uses referrals.

C is wrong: Cluster picks whole groups.

D is wrong: Convenience picks easy units.

6. Which is NOT one of the six core concepts listed in the notes?

Answer: D. Profit sharing

Why correct: The six core concepts are needs/wants, products, value, exchange, relationships, markets; profit sharing is not one.

A is wrong: Relationships is a core concept.

B is wrong: Needs and wants is a core concept.

C is wrong: Exchange is a core concept.

7. Manufacturer to wholesaler to retailer to consumer is a

Answer: D. two-level channel

Why correct: Two intermediaries sit between maker and buyer.

A is wrong: Direct channels have none.

B is wrong: Zero-level has no intermediaries.

C is wrong: One-level has just one intermediary.

8. Which element of the marketing mix is the only one that produces revenue?

Answer: B. Price

Why correct: Price is what the customer pays, so it alone brings in revenue.

A is wrong: Product costs money to make.

C is wrong: Promotion costs money to carry out.

D is wrong: Place (distribution) costs money to run.

9. Benefits sought, usage rate and brand loyalty are bases of

Answer: C. behavioural segmentation

Why correct: Benefits sought, usage rate and loyalty are behavioural bases.

A is wrong: Geographic is place.

B is wrong: Demographic is statistics.

D is wrong: Psychographic is lifestyle.

10. Pricing a product at Rs 999 instead of Rs 1,000 is

Answer: D. psychological pricing

Why correct: Odd prices make the product seem cheaper.

A is wrong: Geographical pricing depends on location.

B is wrong: Cost-plus follows production cost.

C is wrong: Going-rate follows competitors.

11. The package that directly holds the product, like a toothpaste tube, is the

Answer: B. primary package

Why correct: Primary packaging touches the product.

A is wrong: The outer carton is secondary or tertiary.

C is wrong: Secondary is the outer box around it.

D is wrong: Tertiary is for bulk shipping.

12. Setting price = cost + a fixed percentage mark-up is

Answer: B. cost-plus pricing

Why correct: Cost-plus adds a mark-up to unit cost.

A is wrong: Going rate follows competitors.

C is wrong: Perceived value uses buyers' opinion.

D is wrong: Sealed-bid is used for tenders.

13. Trade discounts and dealer contests are mainly used in a

Answer: C. push strategy

Why correct: They motivate channel members to push the product forward.

A is wrong: Skimming is a pricing strategy.

B is wrong: Pull works on end consumers.

D is wrong: Penetration is a pricing strategy.

14. The four stages of the product life cycle are

Answer: B. introduction, growth, maturity, decline

Why correct: I-G-M-D is the standard PLC sequence.

A is wrong: These are not the standard PLC stage names.

C is wrong: These are not the standard stage names.

D is wrong: These resemble NPD, not the PLC.

15. Kotler's four MIS sub-systems do NOT include the

Answer: B. data mining system

Why correct: Kotler's four sub-systems: internal records, intelligence, research, decision support; 'data mining system' is not one.

A is wrong: Internal accounting is one.

C is wrong: Market intelligence is one.

D is wrong: Marketing research is one.

16. Free samples, coupons and contests are examples of

Answer: D. sales promotion

Why correct: They give short-term incentives to buy.

A is wrong: PR builds a long-term image.

B is wrong: Selling is personal contact.

C is wrong: Logistics is distribution.

17. Marketing research differs from MIS in that marketing research

Answer: B. seeks specific external information to solve a research problem

Why correct: Marketing research collects specific external data for one problem.

A is wrong: Research is a sub-system of MIS.

C is wrong: MIS is continuous.

D is wrong: MIS is computer based and forward looking.

18. CTR stands for

Answer: B. click-through rate

Why correct: CTR = click-through rate: clicks divided by impressions, showing how many viewers clicked.

A is wrong: Content transfer rate is not a marketing metric.

C is wrong: Cost to revenue is a finance ratio, not CTR.

D is wrong: Customer trust rating is not a standard measure.

19. Avis' 'We try harder' positions the brand against

Answer: D. a competitor (Hertz)

Why correct: 'We try harder' positions Avis against Hertz, a competitor.

A is wrong: It is not about a category.

B is wrong: It is not about an occasion.

C is wrong: It is not about a price point.

20. A wholesaler mainly

Answer: D. buys in bulk and sells to retailers

Why correct: Wholesalers break bulk and supply retailers.

A is wrong: Retailers sell to final consumers.

B is wrong: Transport firms carry goods.

C is wrong: Advertising is a promotion tool.

21. Which is a source of internal secondary data?

Answer: C. Sales invoices and warranty cards

Why correct: Sales invoices and warranty cards are the firm's own records: internal secondary data.

A is wrong: Focus groups produce primary data.

B is wrong: Census reports are external.

D is wrong: Industry reports are external.

22. Climate, region, country and urban or rural area are bases of

Answer: B. geographic segmentation

Why correct: Climate, region and country are geographic bases.

A is wrong: Demographic is age and income.

C is wrong: Behavioural is usage.

D is wrong: Psychographic is lifestyle.

23. Research used when the problem is not clearly defined and insights are needed is

Answer: C. exploratory research

Why correct: Exploratory research gives insight when the problem is unclear.

A is wrong: Conclusive gives final evidence.

B is wrong: Causal tests relationships.

D is wrong: Descriptive describes known issues.

24. Dropping weak ideas early so that resources are not wasted is the purpose of

Answer: D. idea screening

Why correct: Screening is the GO / DROP filter.

A is wrong: Brand extension is a branding strategy.

B is wrong: Test marketing is a late-stage trial.

C is wrong: Commercialisation is the launch.

25. The scale that ranks objects but not by how much is

Answer: B. ordinal

Why correct: Ordinal ranks but cannot show the size of gaps.

A is wrong: Interval has equal gaps.

C is wrong: Nominal only names.

D is wrong: Ratio has a true zero.

26. Marketing begins

Answer: B. before production

Why correct: Marketing begins before production, by studying what customers need.

A is wrong: Dispatch is too late.

C is wrong: Selling begins after production.

D is wrong: After-sales is only part of marketing.

27. Skip interval in systematic random sampling equals

Answer: A. population list size / desired sample size

Why correct: Skip interval = population list size / sample size.

B is wrong: Multiplying is wrong.

C is wrong: That inverts the ratio.

D is wrong: Subtracting is wrong.

28. Classifying products into classes by quality, size and weight is

Answer: D. grading

Why correct: Sorting goods into classes by quality, size or weight is grading.

A is wrong: Storage holds goods.

B is wrong: Branding gives a name.

C is wrong: Packaging wraps.

29. Face-to-face presentation by a salesperson to make a sale is

Answer: B. personal selling

Why correct: It is two-way and gives instant feedback.

A is wrong: Publicity is unpaid media coverage.

C is wrong: Packaging protects goods.

D is wrong: Advertising is non-personal.

30. Netflix personalising recommendations for each account is

Answer: C. micromarketing

Why correct: Personalising for each account is micromarketing.

A is wrong: Concentrated serves one segment.

B is wrong: Mass marketing treats all alike.

D is wrong: Undifferentiated uses one offer.

31. The set of alternatives a buyer considers after information search is the

Answer: D. evoked set

Why correct: The set of brands a buyer considers after searching is the evoked set.

A is wrong: Segment is a market group.

B is wrong: Quota is a sampling term.

C is wrong: Choice set is not the term here.

32. The marketing concept shifts the focus from

Answer: C. finding the right customers for your product to finding the right products for your customers

Why correct: The marketing concept starts from the customer: find the right products for your customers.

A is wrong: That describes production to selling.

B is wrong: That describes quality to packaging.

D is wrong: That describes selling to discounts.

33. Trying a new soft-drink flavour just for fun is

Answer: B. variety-seeking behaviour

Why correct: Trying something new for fun is variety seeking.

A is wrong: Complex needs research.

C is wrong: Habitual repeats.

D is wrong: Dissonance-reducing involves doubt.

34. The scale that only labels categories (gender, religion) is

Answer: C. nominal

Why correct: A nominal scale only labels categories.

A is wrong: Ratio has a true zero.

B is wrong: Ordinal ranks.

D is wrong: Interval has equal gaps.

35. A disadvantage of the selling concept is

Answer: B. short-term focus and no customer focus

Why correct: The selling concept looks for quick sales and ignores long-term customer focus.

A is wrong: That describes the product concept.

C is wrong: That describes production.

D is wrong: That describes societal marketing.

36. Online marketing is

Answer: A. a type of digital marketing carried out via the internet

Why correct: Online marketing is digital marketing carried out over the internet.

B is wrong: It is not print only.

C is wrong: It is not retail shops only.

D is wrong: It is not TV and radio only.

37. A channel from manufacturer directly to the consumer is

Answer: A. zero-level

Why correct: No intermediary is involved.

B is wrong: Three-level has an agent as well.

C is wrong: Two-level has wholesaler and retailer.

D is wrong: One-level has a retailer.

38. Referral sampling, where one respondent refers others, is

Answer: B. snowball sampling

Why correct: Respondents referring others is snowball sampling.

A is wrong: Systematic uses a skip interval.

C is wrong: Quota fills set numbers.

D is wrong: Stratified uses homogeneous groups.

39. Which Indian company markets the 'Good and Green' strategy?

Answer: D. Godrej

Why correct: Godrej uses the 'Good and Green' strategy.

A is wrong: Kansai Nerolac is a paint company.

B is wrong: SBI is a bank.

C is wrong: Wipro is an IT firm.

40. The 4Ps of the marketing mix are

Answer: D. product, price, promotion, place

Why correct: The 4Ps are product, price, promotion and place.

A is wrong: Profit and people are not among the 4Ps.

B is wrong: Plan, produce, pack and post are not the four marketing-mix tools.

C is wrong: People and process belong to the extended 7Ps, not the 4Ps; profit and planning are not Ps of the mix.

41. Sales records and customer databases are part of

Answer: C. internal records

Why correct: Sales records and customer databases are internal records.

A is wrong: Output is the report.

B is wrong: Research is special studies.

D is wrong: Intelligence is external.

42. AIDA stands for

Answer: A. Attention, Interest, Desire, Action

Why correct: AIDA is the sequence good promotion follows.

B is wrong: These are not the AIDA words.

C is wrong: These are not the AIDA words.

D is wrong: These are not the AIDA words.

43. A strategy that promotes to final consumers so that they demand the product from retailers is

Answer: C. pull strategy

Why correct: Consumer demand pulls the product through the channel.

A is wrong: Push targets channel members.

B is wrong: Logistics is distribution.

D is wrong: Cost-plus is a pricing method.

44. Pricing according to what customers believe a product is worth is

Answer: C. perceived-value pricing

Why correct: It is a demand-based method.

A is wrong: Cost-plus is cost-based.

B is wrong: Going-rate is competition-based.

D is wrong: Break-even is cost-based.

45. The MIS process runs in the order

Answer: D. collection, processing, storage, retrieval, dissemination

Why correct: MIS flow: collection, processing, storage, retrieval, dissemination.

A is wrong: Dissemination cannot be first.

B is wrong: Processing needs collected data.

C is wrong: Storage cannot come before collection.

46. Green marketing is also called

Answer: C. eco-marketing or environmental marketing

Why correct: Green marketing is also called eco or environmental marketing.

A is wrong: Digital marketing is different.

B is wrong: Mass marketing is different.

D is wrong: Direct marketing is different.

47. Which is NOT a function of packaging?

Answer: C. Fixing the retail price

Why correct: Price is decided separately; packaging only displays the MRP.

A is wrong: Information on the label is a function.

B is wrong: Convenience in handling and use is a function.

D is wrong: Protection is a main function.

48. Starbucks' welcoming atmosphere and personalised service build

Answer: D. customer relationships

Why correct: A welcoming atmosphere and personal service build relationships with customers.

A is wrong: That describes distribution.

B is wrong: That describes cost leadership.

C is wrong: That describes mass production.

49. 'Daag Achhe Hain' is the campaign of

Answer: C. Surf Excel

Why correct: 'Daag Achhe Hain' is Surf Excel's campaign.

A is wrong: Tata Tea is 'Jaago Re'.

B is wrong: Lifebuoy is 'Healthy Hands' type campaigns.

D is wrong: Airtel has other campaigns.

50. A new flavour of a biscuit sold under the same brand is a

Answer: A. line extension

Why correct: The new variant is in the same category.

B is wrong: A brand mark is a symbol.

C is wrong: Brand extension enters a new category.

D is wrong: A private brand belongs to a retailer.